**QP Code:** **Reg.No : .....**

**Name : .....**

# MAHATMA GANDHI UNIVERSITY, KOTTAYAM

## MGU-UGP (HONOURS) REGULAR EXAMINATION OCTOBER 2026

## FIFTH SEMESTER

## DISCIPLINE SPECIFIC ELECTIVE - MG5DSEECO304 - PUBLIC ECONOMICS – I

(2024 ADMISSION ONWARDS)

**Duration: 2 Hours** **Maximum Marks: 70**

***Remember(K), Understand(U), Apply(A), Analyse (An), Evaluate(E), Create(C), Skill(S), Interest(I) and Appreciation (Ap)***

Students should attempt at least one question from each course outcome to enhance their overall outcome attainability.

### Part A

Multiple Choice Questions

Answer all questions

Each question carries 1 marks

1. Which of the following best describes the primary objective of the government's distribution function? [U]/[1]

a. Ensuring full employment and price stability
b. Providing merit goods and pure public goods
c. Adjusting the market distribution of income and wealth to align with societal fairness
d. Enforcing statutory regulations and anti-trust laws on private monopolies

2. According to the Principle of Maximum Social Advantage, society gains the most benefit when: [U]/[4]

a. Taxes are cut to zero
b. Benefit from the last rupee spent equals pain from the last rupee taxed
c. Government spending is higher than total tax collected
d. The government saves all its tax revenue

3. If a product has very few substitutes and buyers need it urgently, while sellers can easily switch to producing other goods, who will bear most of a newly added tax? [An]/[2]

a. Buyers, because their demand is less elastic than supply
b. Sellers, because their supply is less elastic than demand
c. The government, through collection losses
d. Shared among buyers and sellers equally

4. A government has an old loan due for repayment today, but it lacks surplus tax revenue. Instead of defaulting, it issues a fresh series of government bonds to raise money and pay off the maturing debt. Which method of debt management is being applied? [A]/[1]

a. Sinking Fund
b. Refunding
c. Capital Levy
d. Debt Repudiation

5. *"Public spending grows automatically in a smooth, continuous line as the economy industrializes, never in sudden jumps."* Evaluating the established theories of public expenditure, whose findings directly challenge this view? [E]/[3]

a. Adolph Wagner
b. Peacock and Wiseman
c. Adam Smith
d. Colin Clark

6. Who is the Chairman of the Sixteenth ($16^{th}$) Finance Commission of India? [K]/[5]

a. Dr. Arvind Panagariya
b. Shri N. K. Singh
c. Dr. Y. V. Reddy
d. Dr. C. Rangarajan

7. Private businesses usually refuse to produce pure public goods because of which problem? [U]/[1]

a. Free-rider
b. Price-ceiling
c. High-inflation
d. Low supply

8. A government official avoids wasteful spending on luxury cars to save public funds for schools. Which canon of public expenditure is being followed? [A]/[1]

a. Economy
b. Sanction
c. Surplus
d. Elasticity

9. In India's public expenditure pattern, which component consistently forms the largest non-developmental revenue outlay of the Central Government? [U]/[5]

a. Interest payments
b. Fertilizer subsidies
c. National highway maintenance
d. Higher education grants

10. A government records a massive Fiscal Deficit, but its Primary Deficit is exactly zero. What does this reveal about current government spending? [An]/[2]

a. All new borrowing is used only to pay interest on old debt
b. The government has stopped collecting revenue entirely
c. The country has zero total outstanding public debt
d. Current year tax revenues exceed all tax government expenditures

**[10x1=10]**

## Part B

Short Answer
Answer any 10 questions
Each question carries 3 marks

11. Define the allocation function of fiscal policy as given by Richard Musgrave. [U]/[1]

12. Explain why the presence of non-excludability in pure public goods leads to the free-rider problem. [U]/[1]

13. State the core condition for achieving Maximum Social Advantage according to Dalton.[U]/[3]

14. Distinguish between a direct tax and an indirect tax based on the concepts of impact and incidence. [U]/[2]

15. What is meant by "escheat" as a non-tax revenue source for the government? [U]/[2]

16. What happens to the incidence of a commodity tax when consumer demand is perfectly inelastic? [An]/[2]

17. What does Adam Smith's Canon of Certainty require in a tax system? [U]/[3]

18. Explain the Canon of Sanction in public expenditure. [U]/[1]

19. Explain the "Displacement Effect" formulated in the Peacock-Wiseman Hypothesis. [An]/[3]

20. How should the government adjust its budgetary stance during an economic recession under a countercyclical fiscal policy? [A]/[1]

21. State the central objective of the Fiscal Responsibility and Budget Management (FRBM) Act in India. [U]/[2]

22. What is the primary constitutional mandate of the Finance Commission under Article 280? [U]/[5]

23. Critically evaluate how the dominance of revenue expenditures (like interest payments and pensions) over capital outlay impacts the quality of public spending in India. [E]/[2]

**[10x3=30]**

## Part C

Short Essay
Answer any 5 questions
Each question carries 6 marks

24. What are the two main features of a pure public good? Explain why markets fail to supply them, making government intervention necessary. [U]/[1]

25. Analyse the difference between a Sinking Fund and Refunding as methods of public debt redemption. [An]/[1]

26. Consider that the, revenue deficit is small whereas fiscal deficit is very high, apply the concepts of Revenue, Fiscal, and Primary Deficits to judge whether this government's borrowing is healthy or risky? [A]/[2]

27. Critically evaluate Wagner's Law of Increasing State Activity against the Peacock-Wiseman Hypothesis.

[E]/[3]

28. Explain the difference between the Benefit Principle and the Ability-to-Pay Principle of taxation. [U]/[3]

29. Explain Dalton's Principle of Maximum Social Advantage. At what point does a government achieve the optimum size for its budget? [U]/[4]

30. Explain how the Finance Commission of India transfers resources to the states through vertical devolution and horizontal distribution. [U]/[5]

**[5x6=30]**